



ROGER W. BABSON

1875–1967

Roger Babson was both one of the first to circulate a market newsletter and a pioneer in statistical analysis. Born in Gloucester, Massachusetts, where his father was a dry goods merchant and his grandfather owned a large farm, Babson was a natural entrepreneur. As a kid, he earned a few pennies carrying buckets of water from the local well to the town's laundryman and for the elephants in P. T. Barnum's circus when it came to town. The circus meant playing hooky, but his father ended the fun and sent him to his grandfather's farm to hoe the fields. To avoid manual labor, Babson excelled at selling his grandfather's vegetables off a wagon. "My eyes were then opened to this fact: Although there is more profit in selling than in producing, yet, best of all, it is well to be in business for oneself."

After high school, he attended MIT, which was considerably less structured then—the young students were completely on their own. "They could have given us some good advice," he said, "as to the dangers of liquor and sexual diseases." In 1898, Babson found work with a bank, first as a clerk, then as a superb bond salesman. Unfortunately, Babson came down with tuberculosis in 1902, so he decided to start a home-based firm built around statistical compilation for tracking various securities and forecasting market movements. Part of his company was eventually bought by Standard & Poors.

While a technician, Babson wrote extensively for the average investor and had his own set of "Ten Commandments." The first three: "1. Keep speculation and investments separate. 2. Don't be fooled by a name. 3. Be wary of new promotions." As for studying market movements, his specialty, Babson based many of his theories on Newton's law of action and reaction. "Our forecast of future events," he said, "is based on the assumption that the law of action and reaction (Newtonian) applies to economics and human relations, en masse, as it applies to mechanics." Part of that theory was his renowned "Babson Chart," which is described in detail in his seminal book, *Business Barometers and Investment*. In *Three Different Stock Market Movements*, Babson explains which movements to ride and which to ignore.